

AUDIT INVESTIGATION REPORT

Investigation No. INV-00105 | Type: Approval Limit Review

Investigation ID:	INV-00105
Investigation Type:	Approval Limit Review
Status:	IN_PROGRESS
Trigger Source:	Vendor risk reassessment trigger
Lead Investigator:	Troy Mathews (EMP-21343)
Subject Employee:	David Hall (EMP-21400)
Related Vendor:	DawnTech Services (VND-04936)
Related Transaction:	TXN-EXT-002246
Scope Period:	2022-02-27 to 2023-05-04
Created Date:	2024-01-07
Completed Date:	In Progress
Outcome:	PARTIALLY SUBSTANTIATED

1. AUDIT QUESTION

"Are there contracts with vendors whose risk rating is HIGH or CRITICAL?"

2. BACKGROUND

This investigation was initiated following a vendor risk reassessment trigger relating to activity associated with employee David Hall (EMP-21400) and vendor DawnTech Services (VND-04936). The investigation scope covers the period 2022-02-27 to 2023-05-04 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-EXT-002246 (amount 6,747.94 CAD, risk score 0.23). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-002129	MEDIUM	APPROVAL LIMIT	Payment of \$497,242 approved at Level 3, which has a limit of \$5,000. Transaction exceeded limit by \$12,788.
FND-004610	MEDIUM	APPROVAL LIMIT	Payment of \$264,082 approved at Level 2, which has a limit of \$25,000. Transaction exceeded limit by \$25,554.

5. CONCLUSION

The investigation found **PARTIAL** support for the concerns raised. While some irregularities were confirmed, a complete policy breach could not be conclusively established for all elements of the original allegation.

6. ACTIONS TAKEN

- Formal written warning issued and recorded in personnel file.
- Vendor contract flagged for non-renewal upon expiry.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Troy Mathews	EMP-21343	2024-01-07